Equity Research Report

FEBRUARY 2026

Avenue Supermarts Ltd.

Avenue Supermarts Ltd.

About the Company

Avenue Supermarts Ltd., (trade name Dmart) is a national supermarket chain focusing on value products for price sensitive middle-income households. It was founded in 2000 by Radha Dhamani. The company started with 2 stores in Maharashtra and now has 442 stores across the country with 116 of them concentrated in Maharashtra.

The products are broadly categorized by the company into Foods, Non- Foods (FMCG) and General Merchandise and Apparel with Foods contributing to over 57 per cent of the company's revenue.

Operating in the retail industry (specifically the Organized Retail Industry), Avenue Supermarts has a market share of appr. 0.75 per cent in the Retail Industry and appr. 5 per cent in the Organized Retail Industry.

Key Highlights

- Aggressive Asset Ownership: The company maintains a unique "ownership model" with a ₹17,304 crore Gross Block, where land and buildings comprise over 81% of assets, providing a massive long-term moat against rising rental costs.
- Inventory Velocity: Despite a 22.15% surge in inventory to ₹5,044 crore (outpacing revenue growth of 14.44%), DMart maintains an elite 11x turnover, replacing its entire stock nearly every month.
- Vendor Relations & Payables: DMart operates on a ultra-lean 7-day payable cycle, paying suppliers almost immediately to secure better margins—a stark contrast to industry peers like V-Mart who stretch payments to 119 days.
- Fortress Balance Sheet: With an Interest Coverage Ratio of 52.52x, the company is virtually immune to interest rate hikes and carries negligible debt, funding its massive expansion primarily through its ₹20,777 crore in reserves.
- Operational Efficiency (CCC): The Cash Conversion Cycle stands at a disciplined 26 days, anchored by near-instant cash collection (Receivables < 1 day), ensuring the business remains a high-velocity cash-generating machine.
- Pure Operational Returns: DuPont analysis confirms an ROE of 12.63% and $ROCE$ of 16.39%, driven entirely by high asset turnover ($2.61x$) rather than financial leverage ($1.00x$), proving a low-risk, high-efficiency growth strategy.

DMart

Recommendation : BUY
CMP : ₹3,875
Target Price : ₹4,782

Stock Data as on 15/02/2026:

NIFTY : 25,471.10
52W H/L : 4,949.50/3,340.00
Market cap (in crs) : 2,53,135.16
Outstanding shares : 65,07,33,068
NSE Code : INE192R01011
Div Yield : 0%
Enterprise value (in crs) : 2,52,644
P/E Ratio : 88.80

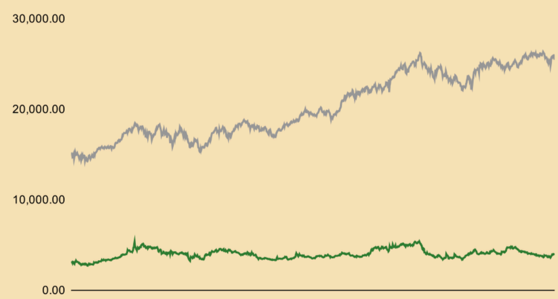
Shareholding Pattern as on Dec, 2025:

Promoters : 74.65%
FII : 8.71%
DII : 8.83%
Public : 7.75%
Government : 0.07%

Absolute Returns:

1YR : 7.14%
3YR : 9.77%
5YR : 25.46%
MAX : 530.79%

Relative Stock Performance



Financial Summary (in crs)

Particulars	Mar, 2023	Mar, 2024	Mar 2025
Revenue	42,840	50,789	59,358
YoY Growth	27.69%	15.65%	14.44%
EBITDA	44,986	45,352	45,717
EBITDA Margin	8%	8%	8%
PAT	2,378	2,536	2,707
PAT Growth	37.26%	6.23%	6.32%
EPS	36.69	38.97	41.61

Avenue Supermarts Ltd.

DMart

Investment Thesis:

Avenue Supermarts: The Efficiency King Navigating the Quick Commerce Surge

1. Robust Growth in Revenue and Improved Margins:

Avenue Supermarts (DMart) delivered a resilient performance in Q3 FY26, with consolidated revenue growing 13.3% YoY to reach ₹18,101 crore, supported by festive demand and the addition of 10 new stores. Operational efficiency remained a core highlight as consolidated EBITDA surged 20.2% to ₹1,463 crore, while PAT grew 18.3% to ₹856 crore, driven by standalone margin expansion from 7.9% to 8.4% YoY. DMart's "Everyday Low Price" model and structural cost leadership continue to drive industry-leading profitability and market share.

2. Operational Moat: The Efficiency "Flywheel":

Avenue Supermarts' competitive advantage is anchored in its Everyday Low Cost, Everyday Low Price (EDLC/EDLP) strategy, which minimizes advertising expenses and eliminates intermediaries through sourcing directly from the manufacturer. The company maintains a distinct cost edge by owning its stores or securing 30-year long-term leases, a model that reduces rental expenses to significantly below the industry average. This structural advantage translates into high operational throughput, with quarterly revenue per square foot at ₹9,290 and an efficient inventory turnover of 2.84x as of Q3 FY26. By maintaining lean staffing and high-velocity stock movement across its 442 stores, DMart generates superior cash flows that self-fund its aggressive expansion without reliance on external debt.

3. Ambitious Expansion Strategy and Geographic Diversification:

Avenue Supermarts is accelerating its physical footprint with a long-term roadmap to reach 2,200 stores, maintaining an aggressive annual expansion target of 15–20% (approximately 60–70 new stores per year). As of December 31, 2025, the company successfully reached a total of 442 stores, supported by a robust annual capex of ₹3,000–3,300 crore funded entirely through internal accruals. While continuing its "cluster-based" dominance in core markets like Maharashtra and Gujarat, DMart is strategically pivoting toward underpenetrated regions in North and East India, specifically targeting high-potential catchments in Uttar Pradesh, Rajasthan, and Odisha. Simultaneously, the company has rationalized its DMart Ready e-commerce operations to focus on 19 key metro markets, enhancing delivery speed and testing new omnichannel formats like DMart Minimax to counter the rising threat of quick commerce while protecting its high-volume physical retail model.

4. Future Growth Levers: Private Labels and Omnichannel Evolution:

DMart's next phase of growth is anchored in its aggressive private label expansion, where own-brand products are priced 40–50% lower than national brands, serving as a primary tool to protect margins amidst rising input costs. The company is also refining its digital strategy through DMart Ready, which reported a 20% YoY revenue recovery in Q3 FY26 by focusing on 19 key metro markets and investing in faster delivery cycles to retain its urban consumer base. Beyond e-commerce, the retailer is piloting high-margin services like in-store pharmacies (currently in 7 locations) and deploying AI-driven demand forecasting and automated warehousing (AS/RS) to further sharpen its industry-leading logistics. With a clear roadmap to 2,200 stores, DMart is now moving beyond its traditional strongholds into North and East India, leveraging its cash-rich balance sheet to capture underpenetrated markets.

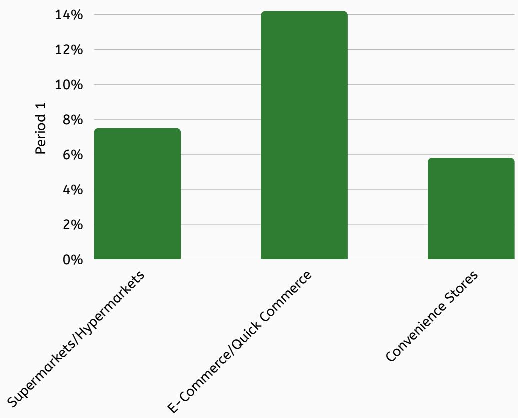
5. Key Investment Risks: Quick Commerce and Leadership Transition:

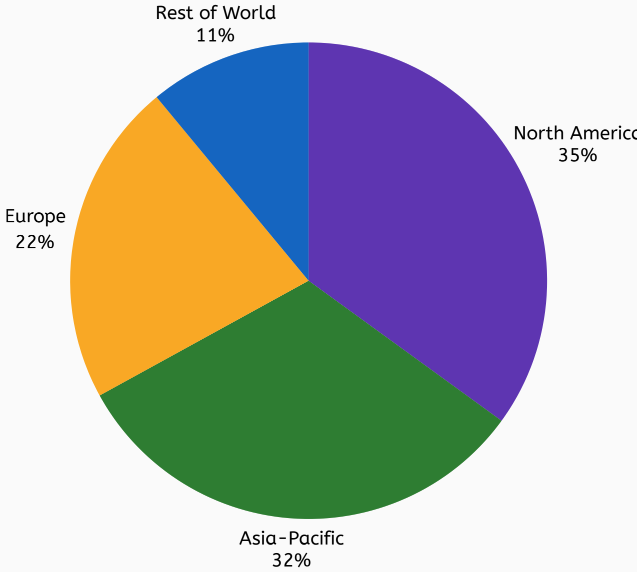
The primary threat to DMart's dominance is the rapid rise of quick commerce (Blinkit, Zepto, Swiggy Instamart), which has contributed to a moderation in Like-for-Like (LFL) growth to 5.6% in Q3 FY26, down from 8.3% a year prior. While margins recently surprised the upside at 8.4%, analysts at Goldman Sachs and Citi question the sustainability of this recovery, citing intensified pricing wars and a shift in urban "top-up" shopping away from physical hypermarkets. Additionally, the company faces execution risk following the departure of long-time CEO Ignatius Navil Noronha on January 31, 2026; the market is closely monitoring how new CEO Anshul Asawa will balance DMart's "frugal DNA" with the need for digital acceleration. Finally, with a TTM P/E ratio of ~88x, the stock trades at a significant premium, leaving little room for error if store addition targets fall below the projected 60–70 units per year.

Avenue Supermarts Ltd.

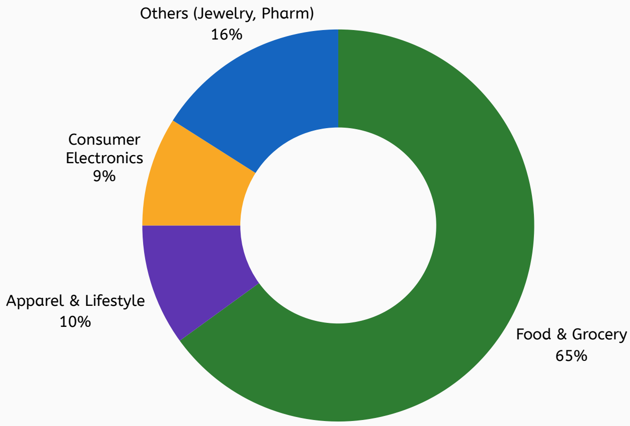
Global Organized Retail & Supermarket Industry

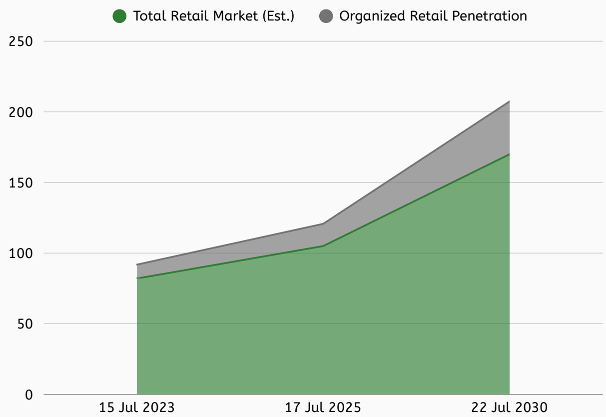
The global retail industry has fully transitioned into a “Phygital” era, blending physical stores with digital ecosystems to enhance efficiency and customer reach. Valued at approximately $32.5 trillion in 2025, the market is projected to grow at a 6.5% CAGR through 2033, with strategic focus shifting from expansion to AI-driven optimization and sustainability. Supermarkets and hypermarkets remain dominant in grocery and essentials, growing at about 7.5% CAGR (2024–2030), while e-commerce and quick commerce are the fastest-expanding formats at 14.2%, and convenience stores grow at 5.8%. Regionally, North America leads with a 35% market share, driven by high tech adoption and big-box leaders like Walmart and Costco. Asia-Pacific holds 32% and is the fastest-growing region due to digital acceleration in China and India. Europe accounts for 22%, leading in private-label penetration—where in-house brands comprise nearly 38% of food sales—and sustainability regulation, while the remaining 11% comes from emerging Middle Eastern and Latin American markets. Key growth drivers include omnichannel integration with dark stores enabling 30-minute deliveries, AI-powered automation such as smart carts and autonomous checkouts to offset labor costs, and sustainability initiatives, as over 45% of consumers now prioritize eco-friendly packaging.





Indian Organized Retail & Supermarket Industry





India is the world’s third-largest retail market and in 2026 is witnessing a powerful “Bharat Surge,” with Tier II and III cities outpacing metros in consumption growth. The total retail market expanded from ₹82 trillion in 2023 to ₹105 trillion in 2025 and is projected to reach ₹170 trillion by 2030, highlighting strong structural momentum. Organized retail penetration is steadily increasing—from 12% in 2023 to 15% in 2025, and an estimated 22% by 2030—reflecting formalization, better supply chains, and rising consumer preference for modern formats. Although traditional kirana stores still command the majority share, organized retail is growing at 12–15% annually, significantly faster than the overall market. Within organized retail, Food & Grocery dominates with a 65% share, followed by Apparel & Lifestyle at 10%, Consumer Electronics at 9%, and other segments such as jewelry and pharmacy at 16%. The sector contributes nearly 10% to India’s GDP, making it a key economic driver. Meanwhile, quick commerce platforms such as Blinkit and Zepto have fundamentally reshaped urban buying behavior through 10-minute deliveries, forcing traditional supermarkets to integrate micro-fulfillment hubs and strengthen omnichannel capabilities to remain competitive.

Avenue Supermarts Ltd.

DMart

Q3FY26 Earnings call Analysis

Financial Performance:

Strong performance in the quarter was driven by steady revenue growth and margin expansion. Consolidated revenue stood at ₹18,101 crores, up 13.3% YoY. EBITDA increased 20.2% to ₹1,463 crores, with EBITDA margin expanding by 50 bps to 8.1%. PAT rose 18.3% YoY to ₹856 crores, with Basic EPS at ₹13.15 per share.

Key Business Highlights:

- Store Network Expansion: The company added 10 new stores during Q3 FY26, bringing the total operational store count to 442 as of December 31, 2025.
- Like-for-Like (LFL) Growth: Performance for stores older than two years stood at 5.6%. While positive, this was noted as a "subdued" growth rate compared to previous periods, largely attributed to deflation in staple prices.
- Total Retail Footprint: The total retail business area reached 18.3 million sq. ft., marking a 13.7% YoY increase.
- Sales per Square Foot: Revenue per sq. ft. was slightly lower at ₹9,290 (compared to ₹9,317 in Q3 FY25), indicating that throughput growth is currently trailing area expansion.

Brokerage Sentiment & Valuation

- Mixed Analyst Views: Brokerages remain divided on the stock. CLSA maintained a "High Conviction Outperform" with a target of ₹6,185, citing operational efficiency. Conversely, Goldman Sachs and Citi issued "Sell" ratings (targets of ₹3,500 and ₹3,150 respectively), raising concerns over slowing LFL growth and valuation premiums.

Operational Performance & Sales Mix:

- Category Performance: Food & Grocery continues to lead the sales mix at 57.19%, followed by General Merchandise & Apparel (GM&A) at 22.98%, and Non-food FMCG at 19.83%.
- Margin Resilience: For the first time in six quarters, DMart reported an expansion in EBITDA margins. This was driven by a 50 bps improvement in gross margins (reaching 14.5%–15.3% range) due to better sourcing terms and a shift toward higher-margin private labels.
- Leadership Transition: Managing Director and CEO Ignatius Navil Noronha stepped down effective January 31, 2026. Anshul Asawa (CEO-Designate) has officially taken the helm as CEO to lead the next phase of expansion.

Management Commentary & Future Outlook

- Quick Commerce Competitive Intensity: Management acknowledged the growing pressure from quick commerce players (Blinkit, Zepto, etc.) in metropolitan markets, which has impacted the frequency of "top-up" shopping trips at physical stores.
- DMart Ready Momentum: The e-commerce arm, DMart Ready, showed a revival with an estimated 20% YoY growth, as the company optimizes its delivery slots and increases its "dark store" count.
- Capex Plans: The company maintains a disciplined approach to capital, with an estimated capex of ₹110 billion planned for FY26-FY28E, focused on deeper penetration into Tier II and III cities.

Corporate Governance and Analysis

Board and Management Overview:

Name	Designation	Detailed Educational Qualifications	Professional Background	Political Connection	Negative News	Comments / Analyst Insight
Chandrashekhar Bhave	Chairman & Independent Director	M.A.; Alumnus of the 1975 IAS batch.	Former SEBI Chairman and NSDL founder; credited with digitizing the Indian stock market.	No (Ex-Bureaucrat)	No	Provides the "Regulatory Shield." His presence ensures absolute compliance with SEBI norms, crucial for an FPI-heavy stock.
Anshul Asawa	CEO & MD (Effective 2026)	B.Tech (Mechanical), IIT Roorkee; PGDM, IIM Lucknow (1995).	30-year UNoever veteran; former Country Head (Thailand) and VP Marketing (Europe).	No	No	The "Growth Catalyst." Hired to modernize DMart's supply chain and digitize operations to counter the Quick Commerce threat.
Ramakant Baheti	Group CFO & Whole-time Director	B.Com; Chartered Accountant (ICAI); 25+ years in retail finance.	A founder-level executive; has been with DMart since its inception in 2000.	No	No	The "Financial Architect." Known for the strict "Everyday Low Cost" (EDLC) model. He is the bridge between the promoter's vision and public markets.
Rita Teaotia	Independent Director	M.A. (History), University of Lucknow; 1981-batch IAS officer.	Former Commerce Secretary of India and Chairperson of FSSAI.	Ex-High Ranking Civil Servant	No	Her expertise in food safety (FSSAI) and logistics (Ministry of Commerce) is vital for DMart's massive grocery and private-label operations.
Kalpana Unadkat	Independent Director	LL.B. (India); Solicitor (UK/Wales). Senior Partner at Khaitan & Co.	Expert in M&A and international corporate governance; former head of Ashurst's India practice.	No	No	Ensures "Legal Integrity." Her role is critical for evaluating future acquisitions or joint ventures as DMart scales beyond physical stores.
Harischandra M. Bharuka	Independent Director	B.Com; ICWA (Institute of Cost Accountants of India).	Former MD of Kansai Nerolac Paints; recognized for operational turnarounds.	No	No	Brings "Operational Efficiency." His background in high-volume manufacturing helps DMart optimize its in-house brand production and warehousing.
Manjri Chandak	Non-Executive Director	B.Com.	Representative of the Damani Family (Promoter Group).	Family Connection	No	Acts as the "Promoter's Pulse." Ensures that the board's decisions remain aligned with the long-term, conservative ethos of Radhakishan Damani.
Elvin Machado	Whole-time Director	B.Com.	20+ years at DMart; lead on Real Estate & Expansion strategy.	No	No	The "Store Builder." DMart owns most of its land/stores; Machado's expertise in property acquisition is the engine of their low-rent advantage.

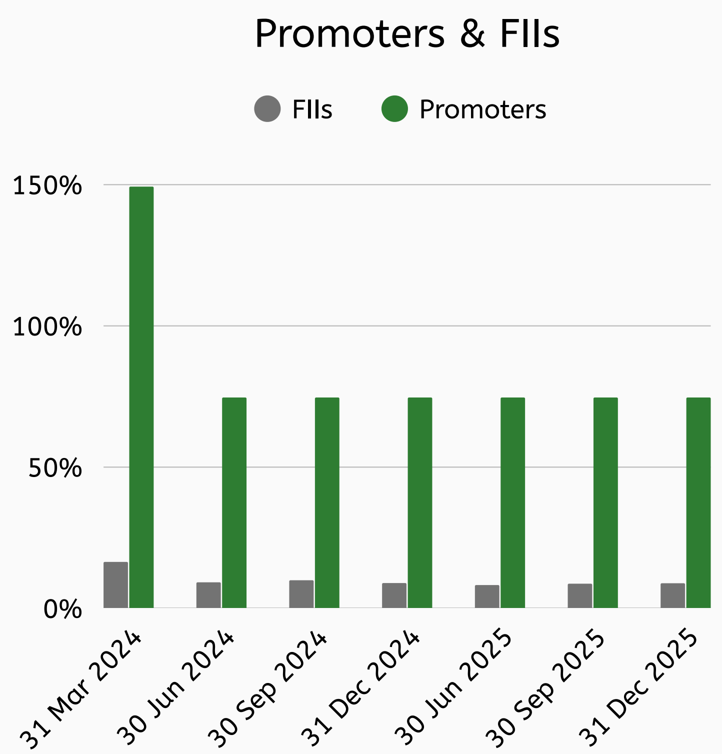
Avenue Supermarts Ltd.

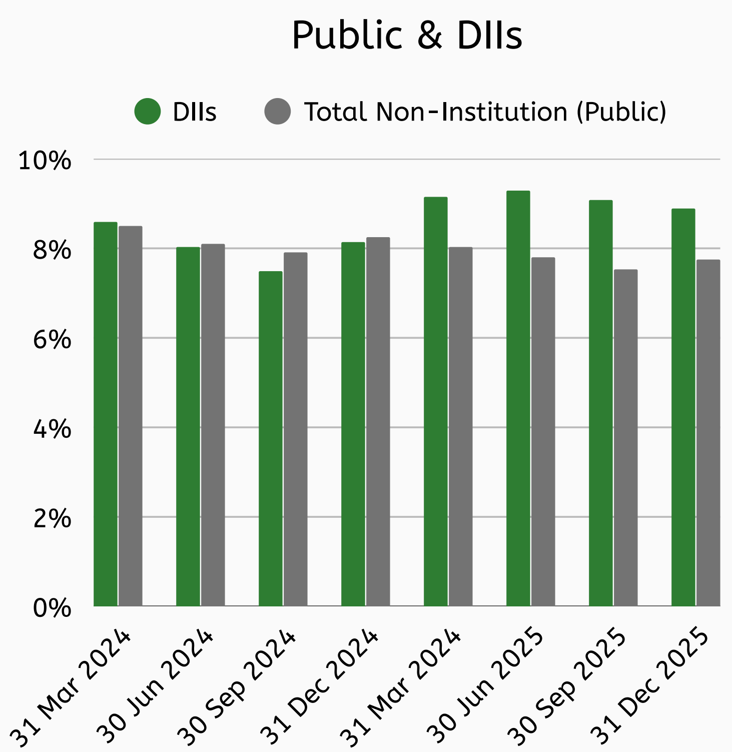
DMart

Corporate Governance and Analysis

Shareholding Analysis:

	Mar, 2024	Jun, 2024	Sep, 2024	Dec, 2024	Mar, 2024	Jun, 2025	Sep, 2025	Dec, 2025
Promoters	74.65%	74.65%	74.65%	74.65%	74.65%	74.65%	74.65%	74.65%
FIIs	8.26%	9.22%	9.95%	8.96%	8.18%	8.25%	8.73%	8.89%
Mutual Funds	7.29%	6.81%	5.95%	6.77%	7.63%	7.37%	6.84%	6.69%
Banks and Insurance	0.89%	0.81%	0.68%	0.46%	0.60%	0.79%	0.86%	0.60%
Other	0.41%	0.41%	0.86%	0.91%	0.92%	1.13%	1.38%	1.60%
DIIs	8.59%	8.03%	7.49%	8.14%	9.15%	9.29%	9.08%	8.89%
Resident Individuals	5.43%	5.07%	4.89%	5.17%	4.95%	4.70%	4.37%	4.61%
Non-Resident Indians	0.11%	0.10%	0.10%	0.10%	0.11%	0.11%	0.11%	0.11%
Bodies Corporate	0.18%	0.17%	0.17%	0.16%	0.15%	0.17%	0.17%	0.17%
Ignatius Navil Noronha	1.96%	1.95%	1.95%	1.95%	1.94%	1.93%	1.93%	1.93%
Others	0.82%	0.81%	0.80%	0.87%	0.88%	0.89%	0.95%	0.93%
Total Non-Institution (Public)	8.50%	8.10%	7.91%	8.25%	8.03%	7.80%	7.53%	7.75%
Grand Total	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**





Avenue Supermarts Ltd.

DMart

Quarterly Snapshot

Particulars	Mar, 2024	Jun, 2024	Sep, 2024	Dec, 2024	Mar, 2025	Jun, 2025	Sep, 2025	Dec, 2025
Revenue from Operations	12,727	14,069	14,444	15,973	14,872	16,360	16,676	18,101
QoQ Growth (%)		9.54%	2.60%	9.57%	-7.40%	9.10%	1.89%	7.87%
Expenses	11,783	12,848	13,351	14,755	13,917	15,061	15,463	16,638
EBITDA	944	1,221	1,093	1,218	955	1,299	1,213	1,463
EBITDA Margin	7%	9%	8%	8%	6%	8%	7%	8%
(-) Depreciation	205	193	208	228	241	232	253	268
EBIT	739	1,028	885	990	714	1,067	960	1,195
EBIT Margin	5.81%	7.31%	6.13%	6.20%	4.80%	6.52%	5.76%	6.60%
(-) Finance Cost	13	16	16	18	19	29	35	37
EBT	726	1,012	869	972	695	1,038	925	1,158
(+) Other Income	38	42	34	24	25	19	20	17
PBT	764	1,054	903	996	720	1,057	945	1,175
(-) Taxes	201	280	244	272	169	284	260	319
PAT	563	774	659	724	551	773	685	856
PAT Growth		27.26%	-17.45%	8.98%	-31.40%	28.72%	-12.85%	19.98%
EPS	8.66	11.89	10.14	11.12	8.47	11.88	10.53	13.15

Yearly Snapshot

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Revenue from Operations	11,898	15,033	20,005	24,870	24,143	30,976	42,840	50,789	59,358
YoY Growth (%)		20.85%	24.85%	19.56%	-3.01%	22.06%	27.69%	15.65%	14.44%
Expenses	10,929	13,680	18,371	22,742	22,398	28,474	39,201	46,683	54,864
EBITDA	969	1,353	1,634	2,128	1,745	2,502	3,639	4,106	4,494
EBITDA Margin	8%	9%	8%	9%	7%	8%	8%	8%	8%
(-) Depreciation	128	159	212	374	414	498	639	731	870
EBIT	841	1,194	1,422	1,754	1,331	2,004	3,000	3,375	3,624
EBIT Margin	7.07%	7.94%	7.11%	7.05%	5.51%	6.47%	7.00%	6.65%	6.11%
(-) Finance Cost	122	60	47	69	42	54	67	58	69
EBT	719	1,134	1,375	1,685	1,289	1,950	2,933	3,317	3,555
(+) Other Income	28	88	48	60	194	114	128	145	117
PBT	747	1,222	1,423	1,745	1,483	2,064	3,061	3,462	3,672
(-) Taxes	268	416	521	444	384	572	683	926	965
PAT	479	806	902	1,301	1,099	1,492	2,378	2,536	2,707
PAT Growth		40.57%	10.64%	30.67%	-18.38%	26.34%	37.26%	6.23%	6.32%
EPS	7.67	12.92	14.46	20.09	16.97	23.04	36.69	38.97	41.61

Comments:

Avenue Supermarts exhibits strong top-line momentum, with revenue scaling to a peak of ₹18,101 crore in Dec 2025, driven by festive seasonality and store expansion. While EBITDA margins remained stable in the 6–9% range, the company successfully navigated a brief profit dip in early 2025 to deliver a robust 19.98% PAT growth by year-end.

Avenue Supermarts has demonstrated exceptional long-term compounding, scaling revenue 5x from 2017 to 2025 while maintaining remarkably stable EBITDA margins around 8%. The company achieved a nearly six-fold increase in PAT and EPS.

Avenue Supermarts Ltd.

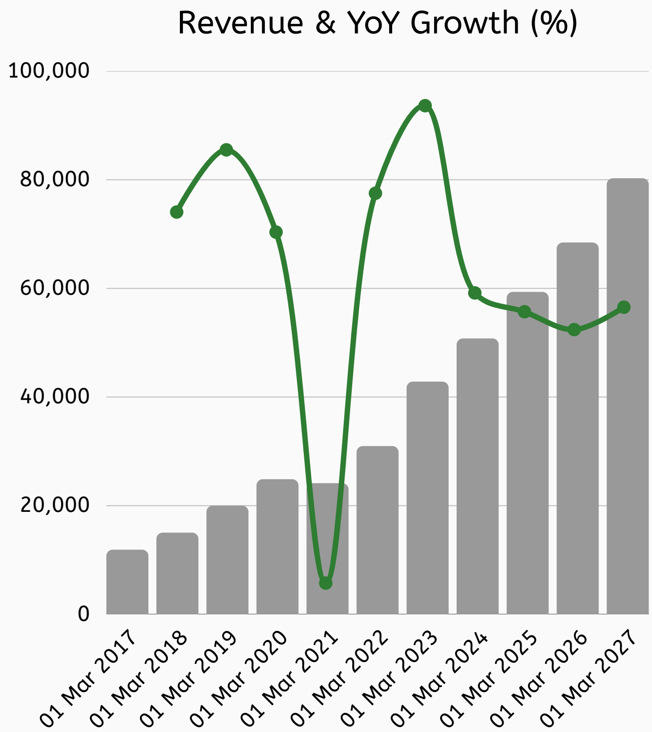
Revenue Analysis

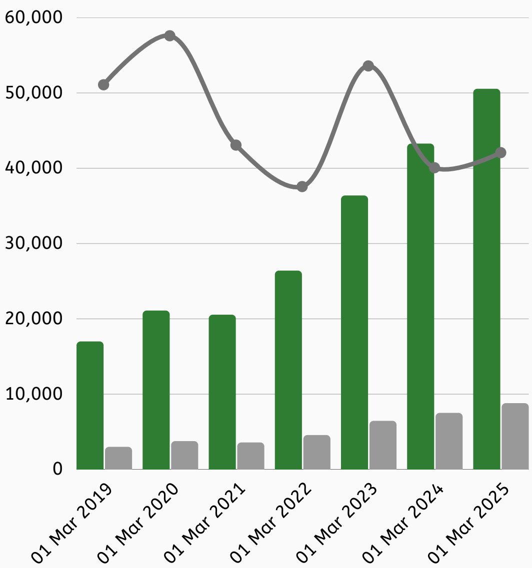
The Indian organized retail sector is undergoing a massive transformation and is projected to reach $230 billion by 2030, growing at a 10% CAGR. Within this, the organized staples and FMCG market—DMart's core strength—is expected to grow even faster at an 18% CAGR through 2028 as consumers shift from unorganized kirana stores to modern retail formats.

Avenue Supermarts reported a consolidated revenue of ₹59,358 crore in FY25, reflecting a healthy 17% year-on-year growth. This continues a strong long-term trend, with the company achieving a 20% CAGR in revenue between FY19 and FY25.

The "Foods" segment (groceries and staples) remains the dominant revenue pillar, contributing approximately 55-56% of total sales. General Merchandise and Apparel (GM&A) contributed 23-24%, providing a critical balance as a higher-margin category.

Looking ahead, analysts project a continued double-digit growth path. Estimated revenues for FY26 are pegged at approximately ₹71,232 crore, with expectations to scale further to ~₹80,750 crore–₹85,370 crore by FY27. This growth is expected to be driven by a target store addition of 10-15% annually and a gradual recovery in the higher-margin General Merchandise segment.



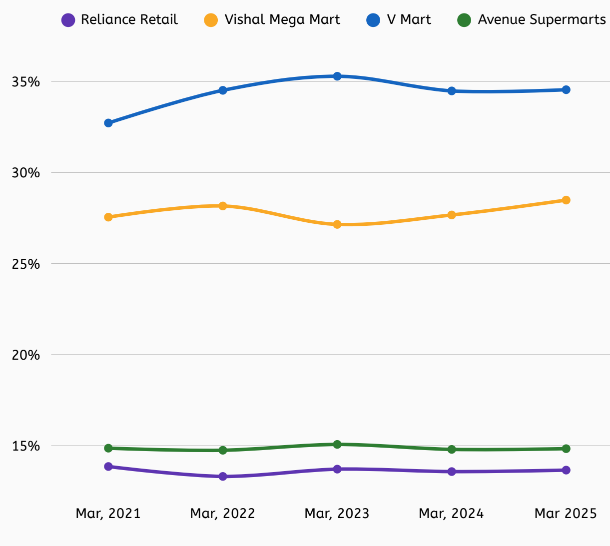


Gross Margin Analysis

- **Significant Revenue Scale-up:** Revenue from Operations has grown nearly 5x over the nine-year period, rising from ₹11,898 crore in Mar 2017 to ₹59,358 crore in Mar 2025. This represents a massive expansion in the company's absolute top-line capacity.
- **Volatility and Resilience:** The YoY growth chart shows a notable dip in Mar 2021 (-3.01%) due to pandemic-related lockdowns. However, the company showed high resilience with a sharp "V-shaped" recovery, peaking at 27.69% growth in Mar 2023 before normalizing toward a steady state.
- **Consistency in Execution:** Despite fluctuations in the percentage growth rate, the absolute revenue added each year has increased significantly. The revenue jump between 2024 and 2025 alone (~₹8,569 crore) is nearly equivalent to the company's entire annual revenue back in 2016.
- **Peer Comparison:** Avenue Supermarts maintains a remarkably stable and low gross margin of approximately 15% to 16%, reflecting its "Everyday Low Price" (EDLP) business model. In contrast, Reliance Retail leads the group with the highest margins, consistently staying between 33% and 35%, likely due to a product mix that includes higher-margin fashion and electronics. Vishal Mega Mart holds the middle ground with margins between 27% and 28.5%, showing a slight upward trend toward January 2025. V-Mart operates at the lowest margin level in this set, remaining relatively flat around 13.5% throughout the observed period. Overall, the data reveals that while its competitors maintain higher or more varied margins, Avenue Supermarts prioritizes consistency and cost-leadership over high markups.

Peer Comparison

Gross Margin



Avenue Supermarts Ltd.

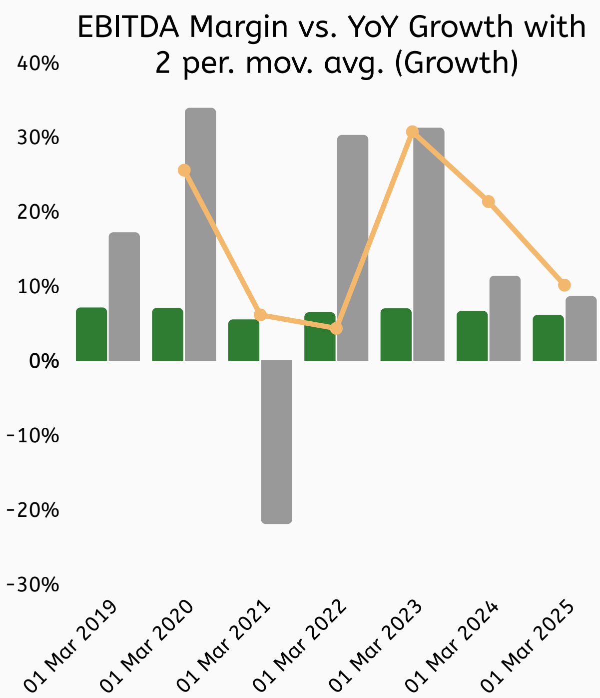
DMart

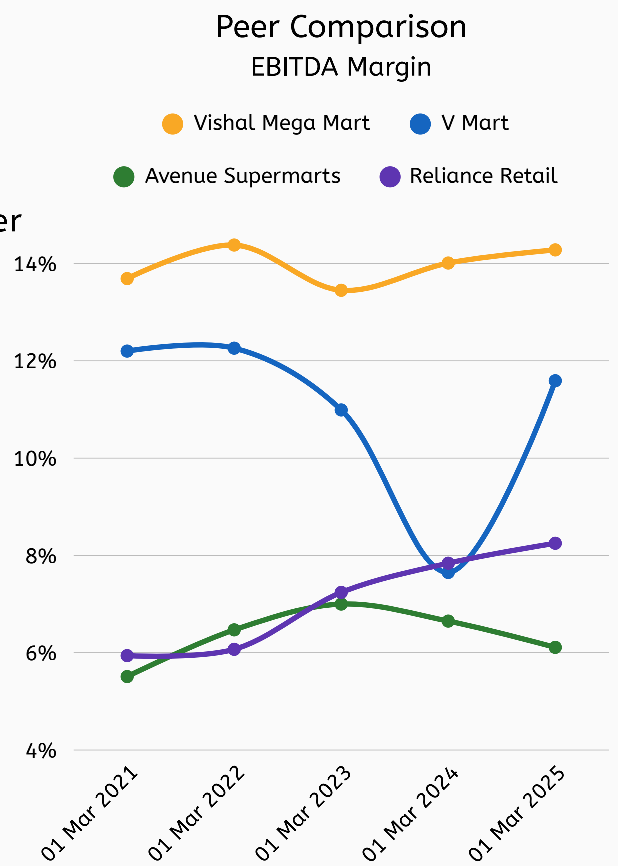
EBITDA Margin Analysis

Avenue Supermarts has demonstrated a robust expansion in its absolute earnings, with EBITDA growing from 1,634 in March 2019 to 4,494 by March 2025. This trajectory was punctuated by a significant -21.95% contraction in March 2021, followed by a sharp "V-shaped" recovery where growth rates exceeded 30% for two consecutive years in 2022 and 2023. This performance underscores the company's strong operational core, allowing it to nearly triple its absolute EBITDA within six years despite large-scale economic disruptions.

The company’s EBITDA margin has generally fluctuated within a tight corridor of 5.5% to 7.1%, though there has been a noticeable softening in recent years, declining from a post-pandemic high of 7.00% in 2023 to 6.11% in 2025. This slight margin erosion occurs even as Revenue from Operations reached a peak of 59,358 in 2025, suggesting that the "Everyday Low Price" strategy may be facing increased competitive or inflationary pressures on the expense side. Nevertheless, the 2-period moving average of EBITDA YoY growth has stabilized at 10.00% as of March 2025, indicating that while the hyper-growth phase has cooled, the company is maintaining a steady and predictable growth rhythm as it matures.

When compared to its industry peers, Avenue Supermarts maintains a lean and highly consistent EBITDA margin profile, though it currently sits at the lower end of the spectrum compared to specialized value players like Vishal Mega Mart. While Vishal Mega Mart leads the group with superior margins consistently exceeding 13.50%, and V Mart exhibits significant volatility—dropping to a low of approximately 7.6% in 2024 before rebounding to over 11.50%—DMart’s strategy remains anchored in low-margin stability. Notably, Reliance Retail has demonstrated a steady upward trajectory, surpassing Avenue Supermarts in 2023 and reaching approximately 8.25% by March 2025. This comparative landscape highlights that while peers may achieve higher individual markups, Avenue Supermarts' lower margin relative to the group is a deliberate result of its high-volume, low-cost operational model.





Management Guidance:

In recent management updates, including commentary from incoming CEO Anshul Asawa, Avenue Supermarts has pivoted toward prioritizing profit stability and margin discipline, leading to an EBITDA margin recovery to 8.1% in early 2026 through optimized operational costs. The company plans to sustain this trajectory by continuing its aggressive store expansion of 10–15% annually while reviving the "DMart Ready" platform to effectively compete with the rise of Quick Commerce. Analysts forecast a steady revenue and EBITDA CAGR of approximately 14–16% through 2028, driven by operational leverage as newer stores reach maturity. Despite deflationary pressures in staple categories, leadership remains committed to the "Everyday Low Price" model to ensure high-volume throughput and capture further market share. This strategic balance of network growth and cost efficiency is designed to solidify long-term profitability as the company navigates an increasingly digital retail landscape.

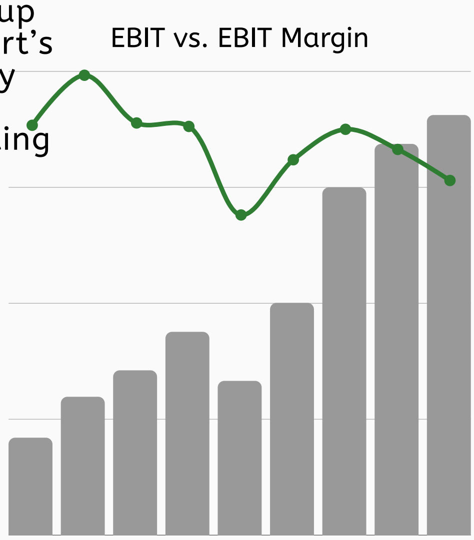
Avenue Supermarts Ltd.

Depreciation Analysis

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Revenue from Operations	11,898	15,033	20,005	24,870	24,143	30,976	42,840	50,789	59,358
YoY Growth (%)		20.85%	24.85%	19.56%	-3.01%	22.06%	27.69%	15.65%	14.44%
Fixed Assets	3,697	3,423	4,651	6,189	7,918	10,288	12,060	14,234	17,191
Fixed Assets (%) Growth		-8.00%	26.40%	24.85%	21.84%	23.04%	14.69%	15.27%	17.20%
Fixed Assets as a % of Rev.	31.07%	22.77%	23.25%	24.89%	32.80%	33.21%	28.15%	28.02%	28.96%
Depreciation	128	159	212	374	414	498	639	731	870
Depreciation (%) Growth		19.50%	25.00%	43.32%	9.66%	16.87%	22.07%	12.59%	15.98%
Depreciation as a % of Rev.	1.08%	1.06%	1.06%	1.50%	1.71%	1.61%	1.49%	1.44%	1.47%
Depreciation as a % of Fixed Assets	3.46%	4.64%	4.56%	6.04%	5.23%	4.84%	5.30%	5.14%	5.06%
Gross Block	2,766	3,661	4,858	5,930	7,048	9,205	11,599	14,139	17,304
Accumulated Depreciation	222	385	584	823	1,110	1,435	1,873	2,380	2,954
Net Block	2,544	3,276	4,274	5,107	5,939	7,770	9,726	11,759	14,350
Depreciation of the year	126	164	203	262	289	340	460	534	633
% Dep.	8.04%	10.52%	12.01%	13.88%	15.75%	15.59%	16.15%	16.83%	17.07%
Avgerage Life of Asset	22	22	24	23	24	27	25	26	27
Average Age of Asset	2	2	3	3	4	4	4	4	5
Change in Revenue		3,135	4,972	4,865	-727	6,833	11,864	7,949	8,569
Change in Fixed Assets		-274	1,228	1,538	1,729	2,370	1,771	2,174	2,957
Change in Revenue / Change in Fixed Assets		-11	4	3	0	3	7	4	3

Comments:

The company has significantly scaled its core infrastructure, with the Gross Block growing from ₹2,766 crore in March 2017 to ₹17,304 crore by March 2025. Despite this massive expansion, the Average Age of Assets remains very low at just 5 years as of March 2025, up from 2 years in 2017. This indicates that the vast majority of DMart's store network consists of relatively new properties, which typically require lower immediate maintenance capital expenditure. The Average Life of Assets has also stabilized around 27 years, reflecting the long-term nature of its ownership-based real estate model.



EBIT Analysis

Avenue Supermarts has demonstrated strong absolute EBIT growth, scaling from ₹841 crore in March 2017 to ₹3,624 crore by March 2025. This growth reflects the company's successful expansion despite a temporary dip during the 2021 fiscal year.

However, the EBIT margin has shown a gradual softening in recent years, declining from a peak of 7.94% in 2018 to 6.11% in 2025. This trend suggests that while the company is successfully growing its total earnings through network expansion, it is facing increased operational costs or competitive pricing pressures that are slightly compressing its per-unit profitability.

Avenue Supermarts Ltd.

Balance Sheet

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Equity Capital	624	624	624	648	648	648	648	651	651
Reserves	3,218	4,045	4,963	10,432	11,536	13,030	15,430	18,047	20,777
Borrowings	1,120	253	430	299	393	647	643	592	820
Trade Payables	261	317	463	433	578	589	754	985	1,071
Other Liabilities	597	373	525	264	501	559	631	902	1,002
Total Liabilities	**5,819**	**5,612**	**7,006**	**12,076**	**13,656**	**15,473**	**18,106**	**21,177**	**24,320**
Fixed Assets	2,544	3,276	4,274	5,107	5,939	7,770	9,726	11,759	14,350
CWIP	153	147	377	364	1,020	1,129	829	935	1,099
Right-of-Use Assets	-	-	-	717	960	1,389	1,389	1,539	1,742
Other Non-Current Assets	6	108	126	123	110	101	110	117	115
Investments	4	68	17	15	3	6	202	107	3
Inventory	948	1,163	1,609	1,947	2,248	2,743	3,243	3,927	5,044
Trade Receivables	21	34	64	20	44	67	62	166	154
Cash & Bank	1,884	560	219	108	1,446	299	1,408	638	358
Other Financial Assets	112	120	91	3,232	1,277	1,390	425	1,363	696
Other Assets	147	137	229	443	610	579	711	625	758
Total Assets	**5,819**	**5,612**	**7,006**	**12,076**	**13,656**	**15,473**	**18,106**	**21,177**	**24,320**

Common Size Statement

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Equity Capital	10.72%	11.12%	8.91%	5.36%	4.74%	4.19%	3.58%	3.07%	2.68%
Reserves	55.29%	72.07%	70.85%	86.38%	84.48%	84.21%	85.22%	85.22%	85.43%
Borrowings	19.24%	4.51%	6.14%	2.48%	2.88%	4.18%	3.55%	2.80%	3.37%
Trade Payables	4.48%	5.65%	6.61%	3.59%	4.23%	3.81%	4.16%	4.65%	4.40%
Other Liabilities	10.26%	6.64%	7.50%	2.19%	3.67%	3.61%	3.48%	4.26%	4.12%
Total Liabilities	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**
Fixed Assets	43.72%	58.37%	61.01%	42.29%	43.49%	50.22%	53.71%	55.53%	59.00%
CWIP	2.63%	2.62%	5.38%	3.02%	7.47%	7.30%	4.58%	4.42%	4.52%
Right-of-Use Assets	-	-	-	5.94%	7.03%	8.97%	7.67%	7.27%	7.16%
Other Non-Current Assets	0.11%	1.92%	1.80%	1.02%	0.81%	0.65%	0.61%	0.55%	0.47%
Investments	0.07%	1.21%	0.24%	0.12%	0.02%	0.04%	1.12%	0.50%	0.01%
Inventory	16.29%	20.73%	22.96%	16.13%	16.46%	17.73%	17.91%	18.54%	20.74%
Trade Receivables	0.36%	0.60%	0.92%	0.16%	0.32%	0.43%	0.34%	0.79%	0.63%
Cash & Bank	32.38%	9.98%	3.13%	0.89%	10.59%	1.93%	7.78%	3.01%	1.47%
Other Financial Assets	1.93%	2.14%	1.30%	26.76%	9.35%	8.98%	2.35%	6.44%	2.86%
Other Assets	2.52%	2.43%	3.27%	3.67%	4.47%	3.74%	3.93%	2.95%	3.12%
Total Assets	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**

Comments:

Avenue Supermarts exhibits a robust asset-heavy balance sheet, with Total Assets growing to ₹24,320 crore in 2025, primarily driven by a ₹14,350 crore investment in core Fixed Assets. The company maintains a conservative capital structure, with Reserves surging to ₹20,777 crore while keeping external Borrowings at a minimal ₹820 crore.
Inventory levels have scaled to ₹5,044 crore to support expanding operations, yet the company stays highly liquid with nearly zero trade receivables relative to its scale. This "cash-and-carry" model, combined with high retained earnings, underscores DMart's ability to fund its aggressive 17% annual fixed asset growth through internal accruals.

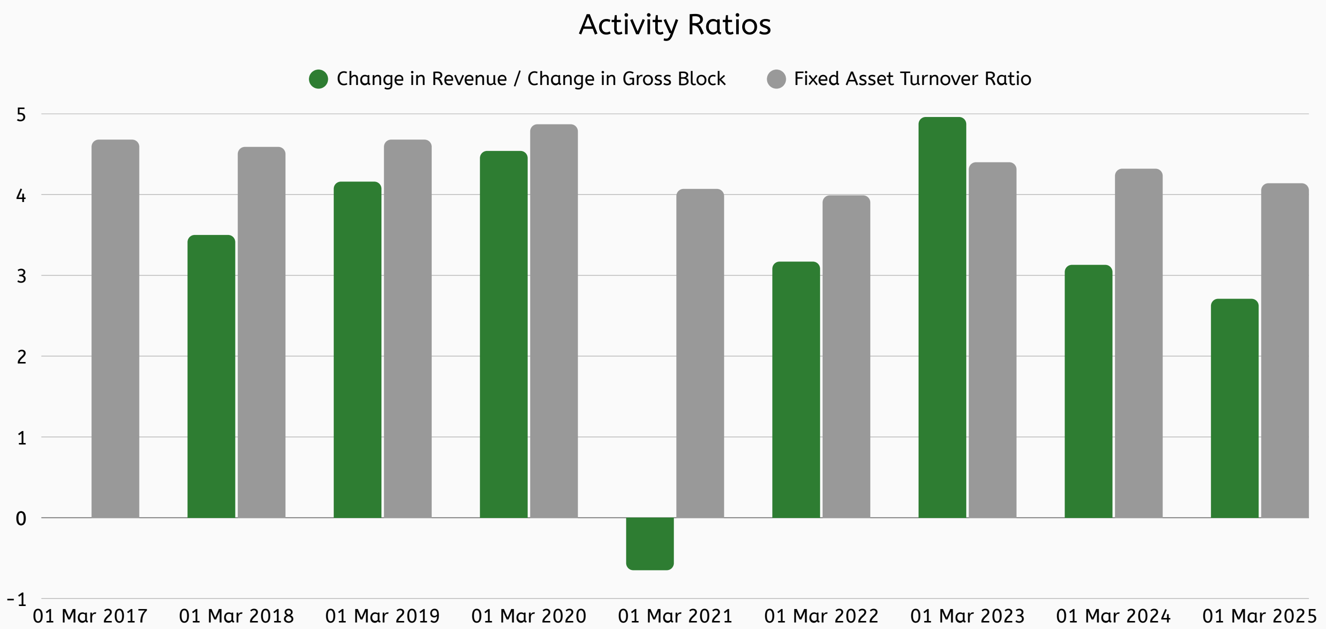
Fixed Asset Analysis

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Land	1,044	1,438	2,028	2,263	2,847	3,691	4,569	5,844	7,529
Buildings	1,355	1,718	2,116	2,712	3,024	3,942	5,029	5,803	6,616
Plant & Equipment	88	124	191	272	344	463	615	821	1,086
Furniture & Fixtures	108	140	206	268	333	443	542	661	835
Vehicles	6	2	3	4	4	3	15	17	6
Other Fixed Assets	165	238	314	411	498	663	830	993	1,232
Gross Block	**2766.21**	**3661.1**	**4857.55**	**5930.28**	**7048.44**	**9205.34**	**11598.71**	**14139.16**	**17304.18**
Accumulated Depreciation	222	385	584	823	1,110	1,435	1,873	2,380	2,954
Net Block	**2,544**	**3,276**	**4,274**	**5,107**	**5,939**	**7,770**	**9,726**	**11,759**	**14,350**
Change in Gross Block		894.89	1196.45	1072.73	1118.16	2156.9	2393.37	2540.45	3165.02
% Change in Gross Block		24.44%	24.63%	18.09%	15.86%	23.43%	20.63%	17.97%	18.29%

Common Size Statement:

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Land	37.74%	39.28%	41.75%	38.16%	40.39%	40.10%	39.39%	41.33%	43.51%
Buildings	48.97%	46.93%	43.56%	45.74%	42.90%	42.82%	43.36%	41.04%	38.23%
Plant & Equipment	3.18%	3.38%	3.93%	4.59%	4.88%	5.03%	5.30%	5.81%	6.28%
Furniture & Fixtures	3.91%	3.84%	4.23%	4.53%	4.73%	4.82%	4.67%	4.67%	4.83%
Vehicles	0.22%	0.06%	0.06%	0.06%	0.05%	0.04%	0.13%	0.12%	0.04%
Other Fixed Assets	5.97%	6.51%	6.46%	6.93%	7.06%	7.20%	7.15%	7.02%	7.12%
Gross Block	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100.00%**

Revenue from Operations	11,898	15,033	20,005	24,870	24,143	30,976	42,840	50,789	59,358
Change in Revenue		3,135	4,972	4,865	-727	6,833	11,864	7,949	8,569
Change in Gross Block		894.89	1196.45	1072.73	1118.16	2156.9	2393.37	2540.45	3165.02
Change in Revenue / Change in Gross Block		3.5	4.16	4.54	-0.65	3.17	4.96	3.13	2.71
Fixed Asset Turnover Ratio	4.68	4.59	4.68	4.87	4.07	3.99	4.4	4.32	4.14



Comments:

The fixed asset base of Avenue Supermarts Ltd has expanded significantly from FY17 to FY25, with Gross Block rising from ₹2,766 Cr to ₹17,304 Cr. This six-fold increase reflects a consistent and aggressive store expansion strategy. Even during the pandemic years, asset growth remained intact, highlighting management’s long-term confidence. Post-FY21, expansion accelerated alongside demand recovery. The company’s capital deployment clearly aligns with structural retail growth.

Land and buildings dominate the asset mix, contributing over 75% of Gross Block throughout the period. Notably, the share of land has steadily increased, crossing 43% by FY25. This suggests a strategic shift toward owning store properties, strengthening balance sheet quality. Buildings remain substantial but have slightly reduced in proportion. The composition reflects a focus on long-term asset control rather than pure leasing dependence.

Gross Block growth has largely translated into revenue expansion over the long term. While FY20–FY21 showed temporary mismatches due to pandemic disruptions, the structural trend remains strong. Revenue consistently scaled with asset addition in normal years. This indicates disciplined expansion rather than speculative capital expenditure. The model appears demand-backed and operationally grounded.

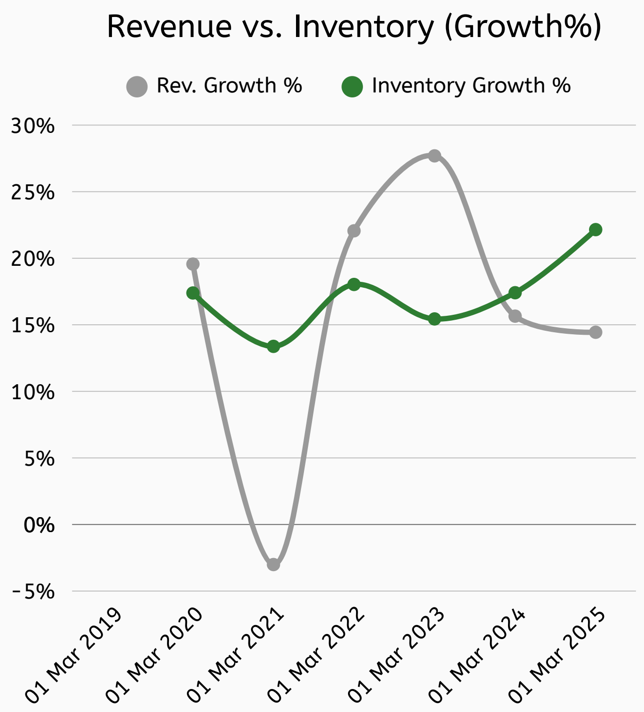
The Fixed Asset Turnover Ratio has remained stable within the 4.0x–4.9x range across nine years. Despite rapid scaling, efficiency has not materially deteriorated. Even after pandemic dips, the ratio normalized around 4.14x in FY25. This consistency signals strong capital productivity in a large-format retail model. Few expanding retailers maintain such stable asset efficiency.

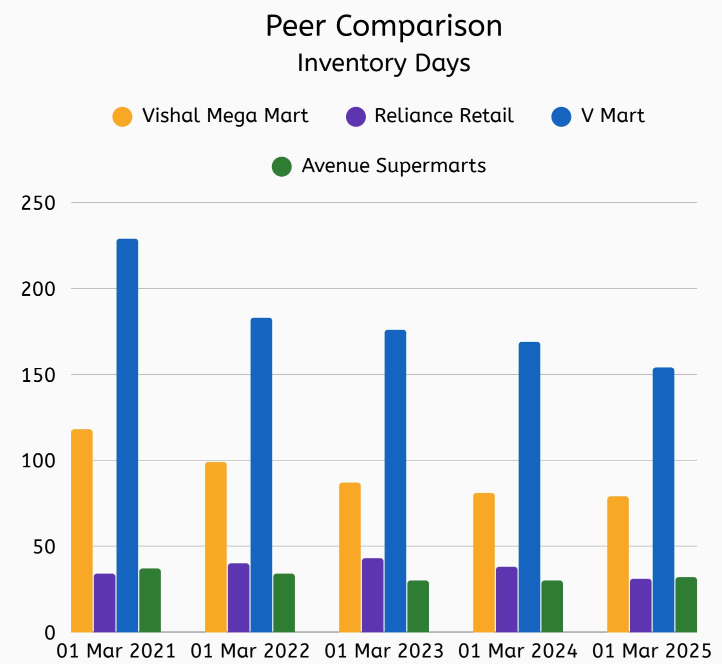
Overall, the fixed asset trajectory reflects calibrated growth, resilient efficiency, and strengthening asset quality. Rising depreciation indicates network maturity but has not impaired productivity. Increasing land ownership enhances intrinsic balance sheet strength. The expansion appears strategically paced and financially disciplined. From an investor lens, the asset base supports long-term compounding potential.

Avenue Supermarts Ltd.

Inventory Analysis

Particulars	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Revenue from Operations	20,005	24,870	24,143	30,976	42,840	50,789	59,358
Rev. Growth %		19.56%	-3.01%	22.06%	27.69%	15.65%	14.44%
Inventory	1,609	1,947	2,248	2,743	3,243	3,927	5,044
Inventory Growth %		17.39%	13.38%	18.03%	15.44%	17.41%	22.15%
COGS	17,001	21,103	20,555	26,407	36,384	43,275	50,552
Inventory as a % of COGS	9.46%	9.23%	10.94%	10.39%	8.91%	9.08%	9.98%
Average Inventory	1,386	1,778	2,098	2,495	2,993	3,585	4,486
Inventory Turnover Ratio	12	12	10	11	12	12	11
Inventory Days	30	31	37	34	30	30	32





Comments:

Avenue Supermarts has scaled its inventory from ₹1,609 crore in 2019 to ₹5,044 crore by March 2025, reflecting its aggressive store expansion. In FY25, inventory growth reached a five-year high of 22.15%, significantly outpacing revenue growth of 14.44%. This divergence indicates a strategic stocking phase to support the heavy pipeline of future store openings. Despite this buildup, the inventory-to-COGS ratio remains stable at 9.98%, demonstrating disciplined procurement and warehouse management.

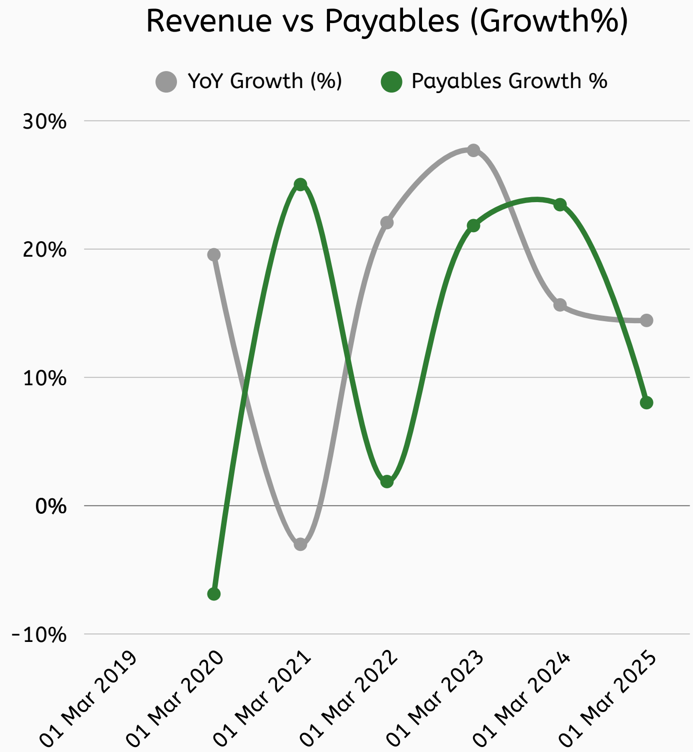
The company maintains elite operational efficiency with an inventory turnover ratio of 11x as of March 2025. This high velocity ensures that stock is sold and replaced nearly every month, preventing capital from being locked in slow-moving goods. This "cash-and-carry" model is vital for sustaining high volumes in a low-margin grocery retail environment. Such efficiency allows DMart to keep prices competitive while funding its rapid growth primarily through its massive ₹20,777 crore internal reserve base.

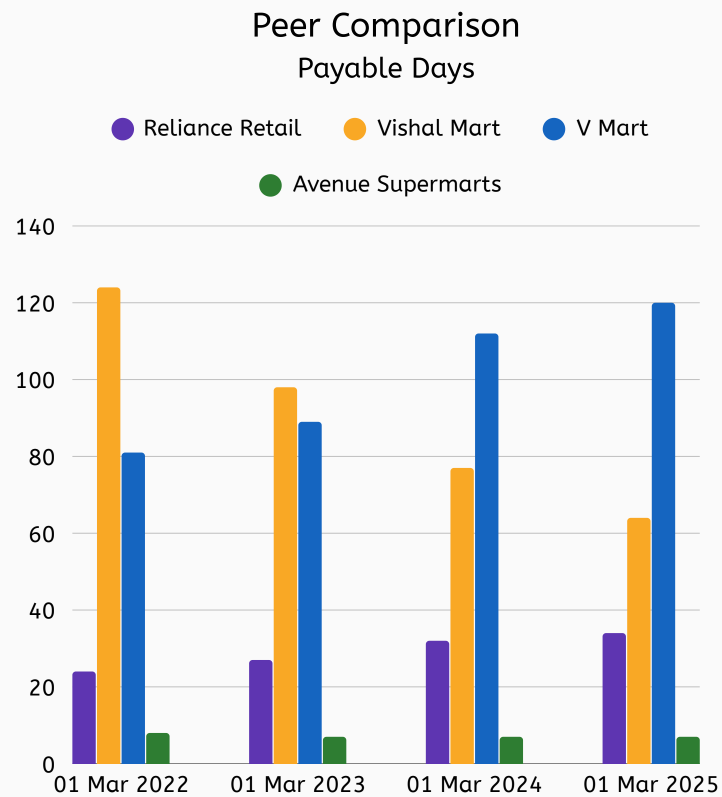
DMart's working capital management is a core competitive advantage, with inventory days averaging just 32 days in 2025. This performance drastically outperforms industry peers like V-Mart, which operates at 155 inventory days. Even against large-scale competitors like Reliance Retail, which also operates at 32 days, DMart demonstrates world-class logistics and regional supply chain precision. This lean cycle minimizes external borrowing needs and maximizes the overall productivity of the company’s capital.

Avenue Supermarts Ltd.

Trade Payables Analysis

Particulars	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Revenue from Operations	20,005	24,870	24,143	30,976	42,840	50,789	59,358
YoY Growth (%)		19.56%	-3.01%	22.06%	27.69%	15.65%	14.44%
Trade Payables	463	433	578	589	754	985	1,071
Payables Growth %		-6.88%	25.03%	1.88%	21.83%	23.46%	8.03%
COGS	17,001	21,103	20,555	26,407	36,384	43,275	50,552
Payables as a % of Rev.	2.32%	1.74%	2.39%	1.90%	1.76%	1.94%	1.80%
Payables as a % of COGS	2.72%	2.05%	2.81%	2.23%	2.07%	2.28%	2.12%
Average Payables		448	506	584	671	869	1,028
Payable Turnover Ratio		47	41	45	54	50	49
Payable Days		8	9	8	7	7	7





Comments:

Avenue Supermarts has maintained a disciplined expansion of trade payables, which reached ₹1,071 crore in March 2025. While payables growth decelerated to 8.03% from 23.46% in the previous year, it remains well-aligned with the company's scaling operations. Crucially, payables as a percentage of revenue stayed low at 1.80%, indicating the company does not rely heavily on supplier credit to fund its growth.

The company’s operational efficiency is underscored by an exceptionally high payable turnover ratio of 49x as of March 2025. This reflects a rapid procurement cycle where suppliers are paid off frequently, supporting a lean and efficient supply chain. This strategy likely allows DMart to negotiate better pricing and cash discounts from its vendors, reinforcing its low-cost retail model.

DMart's "Payable Days" of just 7 days drastically outshines its competitors, showcasing superior working capital management. In comparison, peers like V Mart and Vishal Mega Mart operate with significantly longer cycles of 119 and 64 days, respectively. This ultra-short payment cycle demonstrates a robust cash position and strong vendor relationships that ensure consistent product availability across its stores.

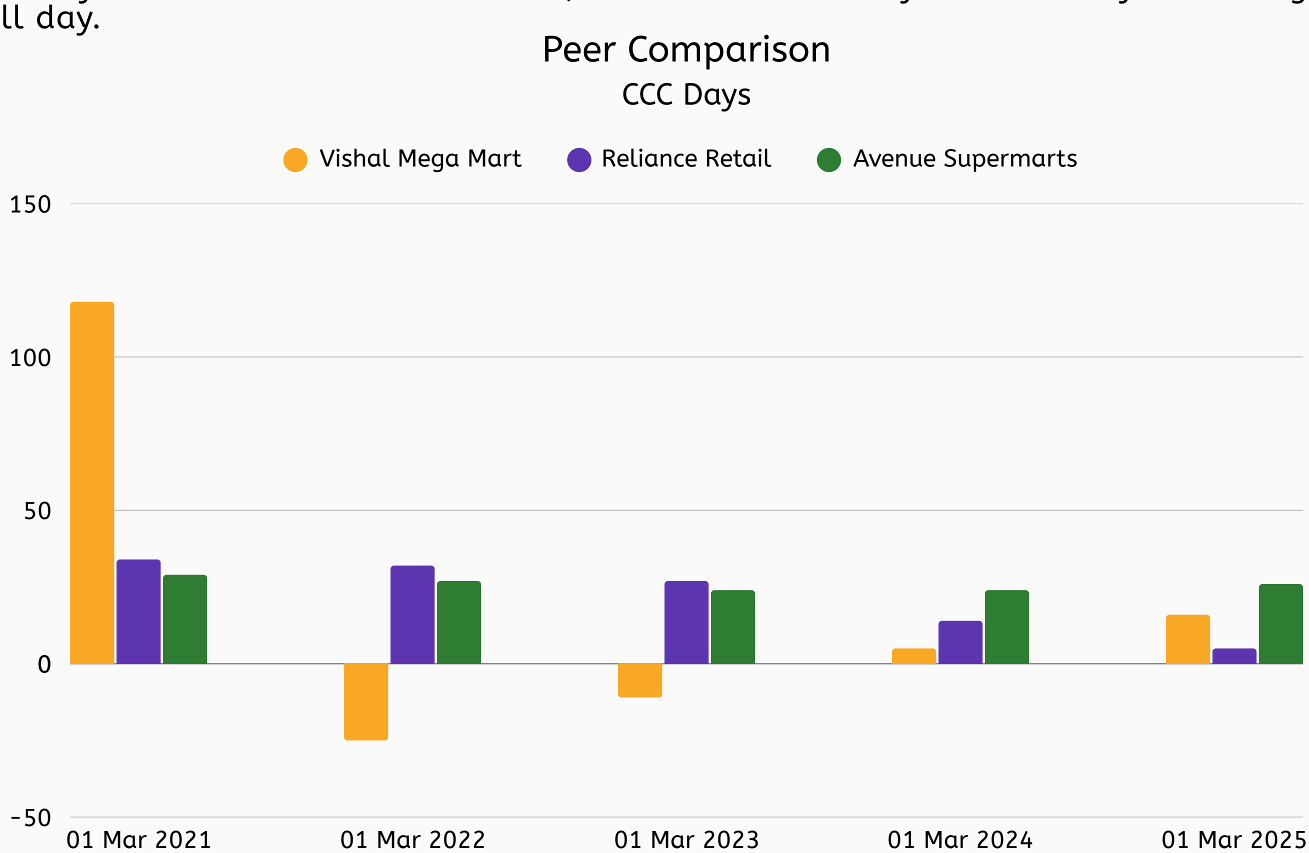
Avenue Supermarts Ltd.

Cash Conversion Cycles

Particulars	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Recievables Days	0.62	0.48	0.65	0.55	0.82	0.98
Inventory Days	31	37	34	30	30	32
Payable Days	8	9	8	7	7	7
Cash Conversion Cycle	24	29	27	24	24	26

Comments:

Avenue Supermarts maintains a highly efficient Cash Conversion Cycle, which slightly increased to 26 days in March 2025 due to a minor rise in inventory days. This speed is anchored by near-instant cash collection, with receivables days consistently remaining below one full day.



Peer Analysis:

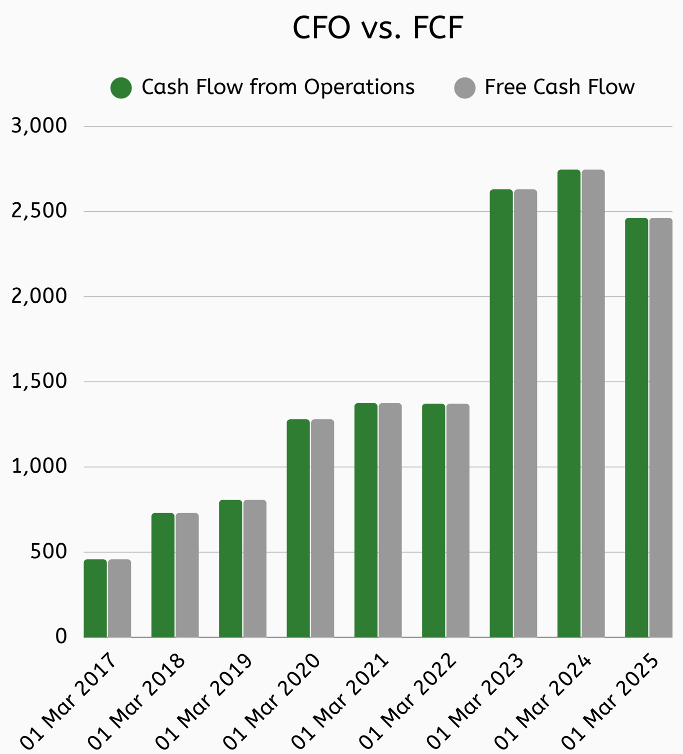
Unlike peers who delay vendor payments to reduce their cycle, DMart's 7-day payment window prioritizes supplier relations over aggressive cash float. This disciplined "cash-and-carry" model ensures a stable liquidity profile that supports its self-funded growth strategy.

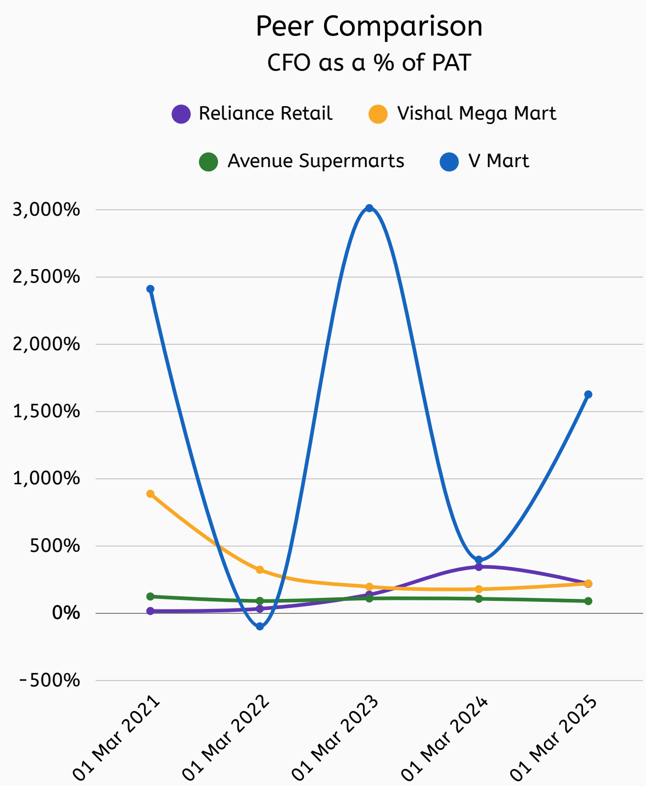
Avenue Supermarts Ltd.

DMart

Cash Flow Analysis

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Cash Flow from Operations	458	730	807	1,280	1,375	1,372	2,630	2,746	2,463
Cash Flow from Investing	-2,484	462	-958	-4,657	-1,110	-1,289	-2,313	-2,468	-2,185
Cash Flow from Financing	2,025	-1,159	209	3,357	-180	-179	-205	-148	-259
Growth % of CFO		37.28%	9.52%	36.97%	6.91%	-0.20%	47.82%	4.21%	-11.48%
Net Cash Flow	-1	33	57	-19	86	-96	112	130	18
CFO/Rev.	3.85%	4.86%	4.03%	5.15%	5.70%	4.43%	6.14%	5.41%	4.15%
CFO/EBITDA	47.25%	53.95%	49.38%	60.16%	78.80%	54.85%	72.28%	66.87%	54.81%
CFO/PAT	95.58%	90.57%	89.45%	98.40%	125.13%	91.98%	110.61%	108.27%	90.99%
Free Cash Flow	-187	-186	-610	-432	-654	-1,038	418	15	-960





Comments:

Avenue Supermarts has demonstrated a robust upward trajectory in Cash Flow from Operations (CFO), growing from ₹458 crore in 2017 to ₹2,463 crore by 2025. This operational strength is underpinned by a consistently high CFO/PAT ratio, which frequently exceeds 90% and even touched 125.13% in 2021, signaling efficient cash conversion from reported net profits. The company's ability to generate steady liquidity from its core retail activities remains a primary driver of its long-term financial health.

Despite strong operations, the company's Free Cash Flow (FCF) has remained largely negative, dropping to -₹960 crore in 2025. This is primarily due to aggressive capital expenditure and negative Cash Flow from Investing (CFI), as seen in the bar chart below where FCF consistently lags behind CFO. These sustained investment outflows highlight DMart's strategic priority of reinvesting operational surplus back into land acquisition and store development.

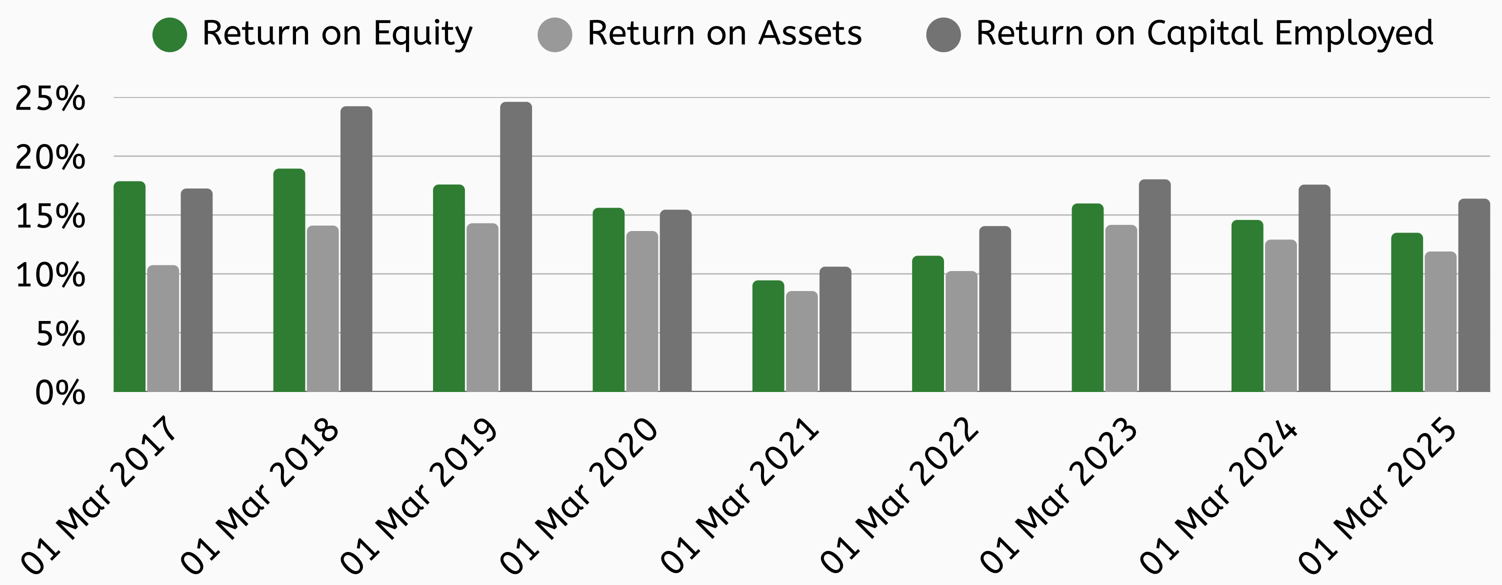
Financing activities show strategic liquidity management, notably the ₹3,357 crore inflow in 2020 that fortified the balance sheet. When compared to peers, the line chart below illustrates that Avenue Supermarts maintains a significantly more stable and less volatile cash flow profile than V Mart, which exhibits extreme fluctuations. This comparative resilience indicates a disciplined operational model that avoids the volatility seen in smaller or more leveraged retail competitors.

Avenue Supermarts Ltd.

DMart

Ratio Analysis

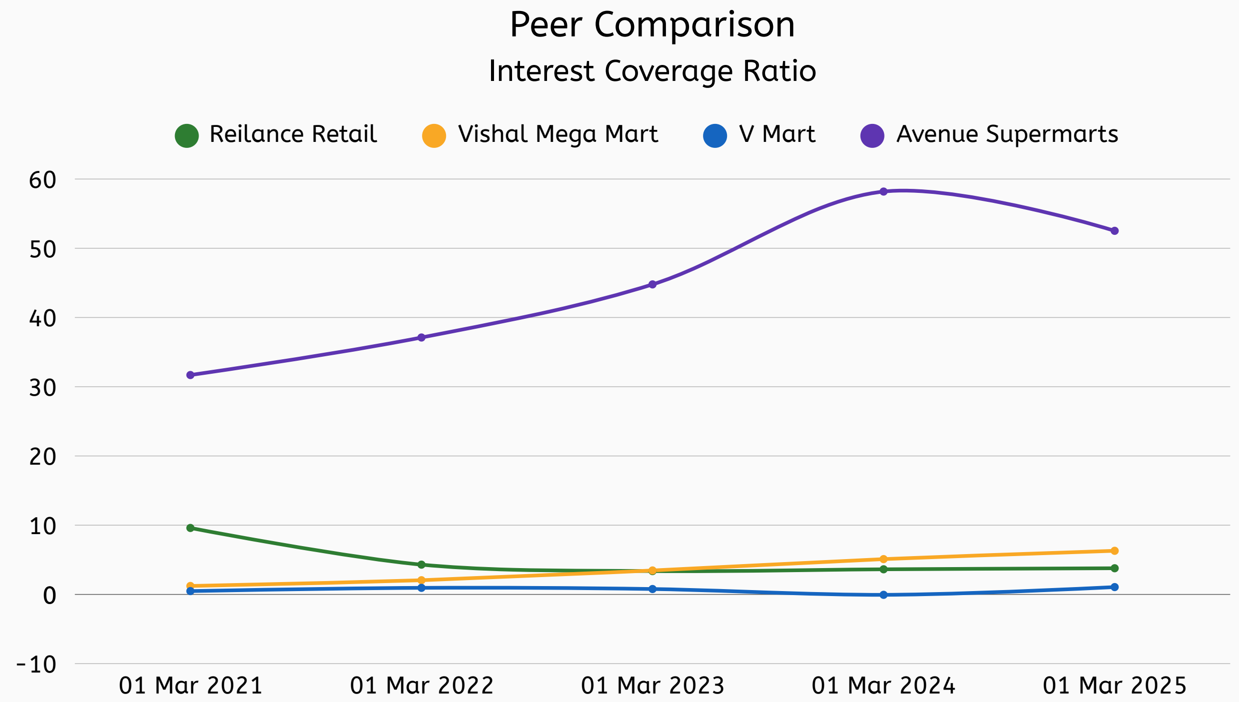
Profitability Ratios	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
EBITDA Margin	8%	9%	8%	9%	7%	8%	8%	8%	8%
PAT Margin	4.03%	5.36%	4.51%	5.23%	4.55%	4.82%	5.55%	4.99%	4.56%
PBT Margin	6.28%	8.13%	7.11%	7.02%	6.14%	6.66%	7.15%	6.82%	6.19%
Return Ratios									
Return on Equity	17.87%	18.94%	17.59%	15.61%	9.45%	11.54%	15.98%	14.58%	13.49%
Return on Assets	10.74%	14.10%	14.30%	13.64%	8.54%	10.24%	14.16%	12.91%	11.90%
Return on Capital Employed	17.25%	24.24%	24.61%	15.45%	10.61%	14.06%	18.03%	17.58%	16.39%
Leverage Ratios									
Current Ratio	3.15	2.88	1.7	3.23	3.67	2.83	3.71	3.13	2.89
Debt to Equity Ratio	1.51	1.2	1.25	1.09	1.12	1.13	1.13	1.13	1.13
Interest Coverage Ratio	6.89	19.9	30.26	25.42	31.69	37.11	44.78	58.19	52.52
Valuation Ratios									
Price / Earnings	83	103	102	109	168	174	93	116	98
EV / EBITDA	39	58	55	65	95	99	58	69	57
Price / Book Value	10	18	16	13	15	19	14	16	12
Price / Sales	3	6	5	6	8	8	5	6	4



Comments:

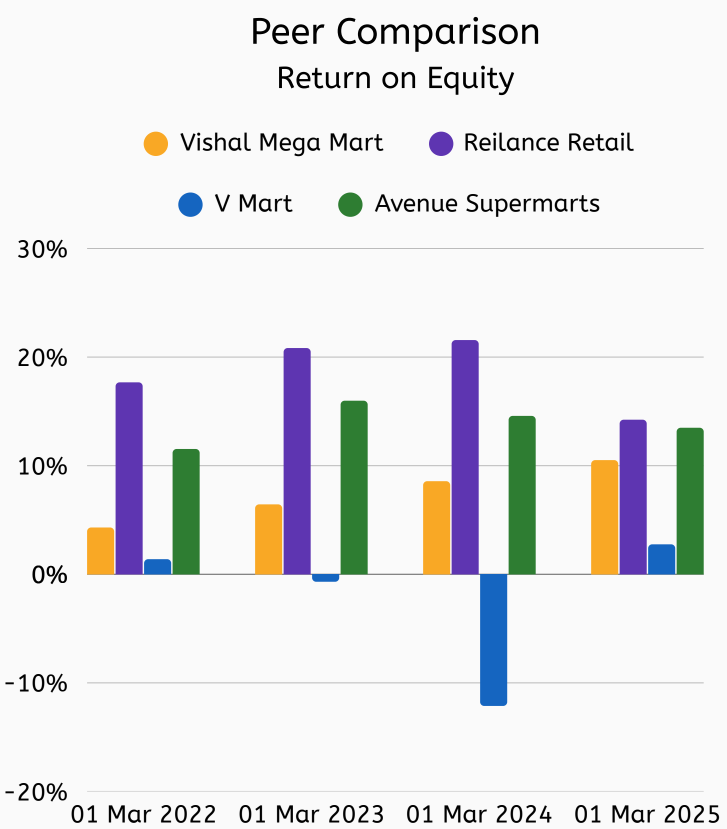
Avenue Supermarts exhibits a robust financial profile, characterized by an impressive Interest Coverage Ratio that peaked at 58.19 in 2024 before settling at 52.52 in 2025. This significantly outperforms peers like Reliance Retail and V-Mart, underscoring DMart's minimal reliance on debt and its immense capacity to service financial obligations.
The company's return ratios, while healthy, have seen a slight moderation with Return on Equity (ROE) at 12.63% and Return on Capital Employed (ROCE) at 16.39% for March 2025. While Reliance Retail currently leads in ROCE, DMart remains a top-tier performer, maintaining consistent profitability across its aggressive expansion phases.
Valuation metrics indicate a cooling trend, with the Price-to-Earnings (P/E) ratio dropping from a high of 174 in 2022 to 98 in 2025. This suggests a shift toward more sustainable market pricing even as the company maintains a stable EBITDA margin of 8%, proving its operational resilience in a competitive retail landscape.

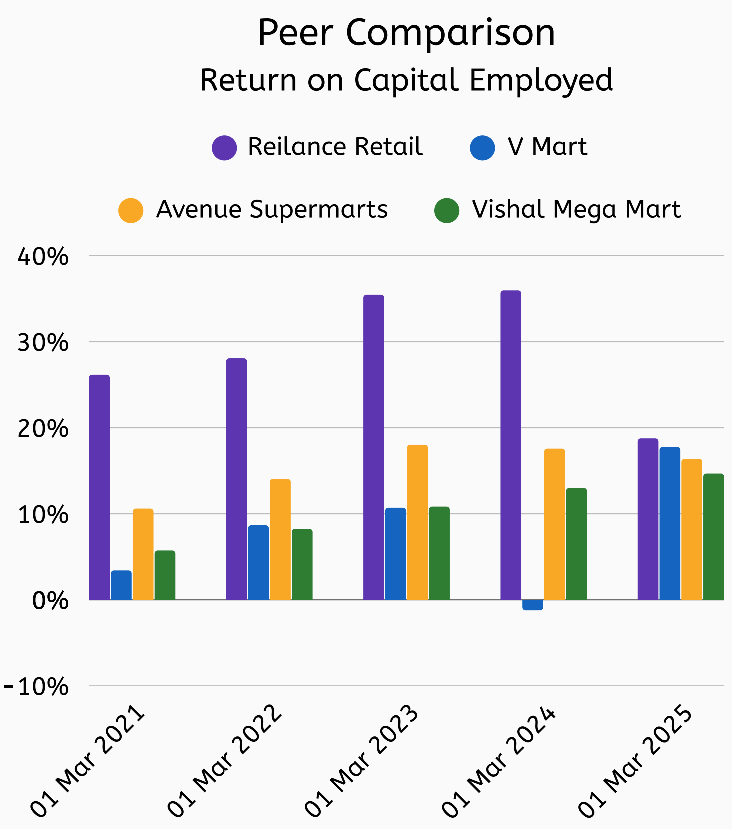
Avenue Supermarts Ltd.



Peer Analysis:

Avenue Supermarts dominates its peers in solvency, maintaining an Interest Coverage Ratio of 52.52, which dwarfs Reliance Retail and V-Mart, indicating superior debt-handling capacity. While its ROE (12.63%) and ROCE (16.39%) are currently outperformed by Reliance Retail's higher capital efficiency, DMart remains significantly more profitable than V-Mart, which struggled with negative equity returns in recent years. This peer comparison highlights a high-margin, low-leverage business model that prioritizes financial stability over aggressive debt-fueled growth.





Avenue Supermarts Ltd.

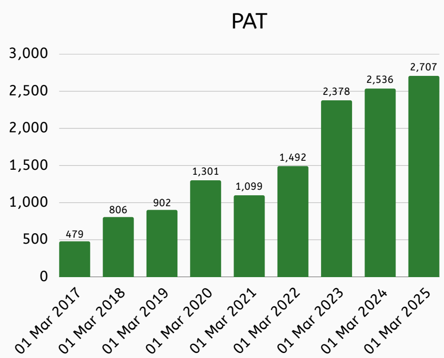
Dupont Equation Analysis

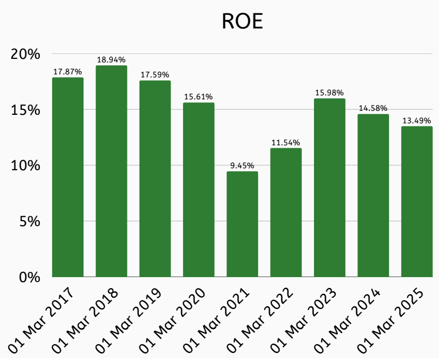
Return on Equity:

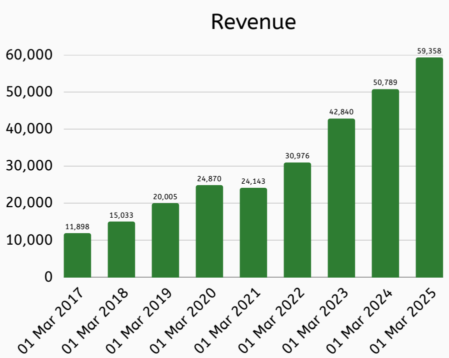
Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
PAT	479	806	902	1,301	1,099	1,492	2,378	2,536	2,707
Equity	624	624	624	648	648	648	648	651	651
Reserves	3,218	4,045	4,963	10,432	11,536	13,030	15,430	18,047	20,777
Average Shareholders' Equity	2,231	4,255	5,128	8,334	11,632	12,931	14,878	17,388	20,063
Return on Equity	**21.47%**	**18.94%**	**17.59%**	**15.61%**	**9.45%**	**11.54%**	**15.98%**	**14.58%**	**13.49%**

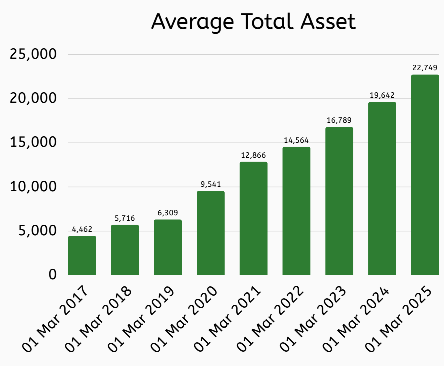
ROE- Dupont Equation:

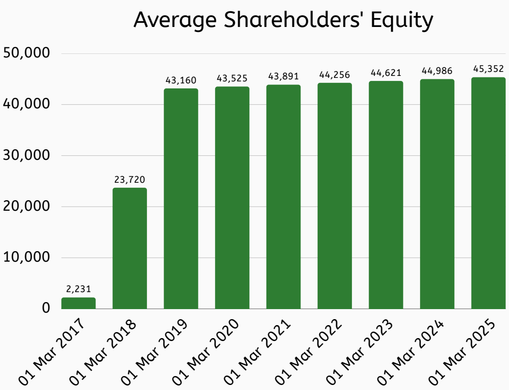
Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
PAT	479	806	902	1,301	1,099	1,492	2,378	2,536	2,707
Revenue from Operations	11,898	15,033	20,005	24,870	24,143	30,976	42,840	50,789	59,358
Net Profit Margin (A)	4.03%	5.36%	4.51%	5.23%	4.55%	4.82%	5.55%	4.99%	4.56%
Revenue from Operations	11,898	15,033	20,005	24,870	24,143	30,976	42,840	50,789	59,358
Average Total Asset	4,462	5,716	6,309	9,541	12,866	14,564	16,789	19,642	22,749
Asset Turnover Ratio (B)	2.67	2.63	3.17	2.61	1.88	2.13	2.55	2.59	2.61
Average Total Asset	4,462	42,978	43,343	43,708	44,074	44,439	44,804	45,169	45,535
Average Shareholders' Equity	2,231	23,720	43,160	43,525	43,891	44,256	44,621	44,986	45,352
Financial Leverage (C)	2	1.81	1	1	1	1	1	1	1
Return on Equity (A*B*C)	**21.47%**	**25.55%**	**14.36%**	**13.69%**	**8.58%**	**10.29%**	**14.22%**	**12.96%**	**11.95%**

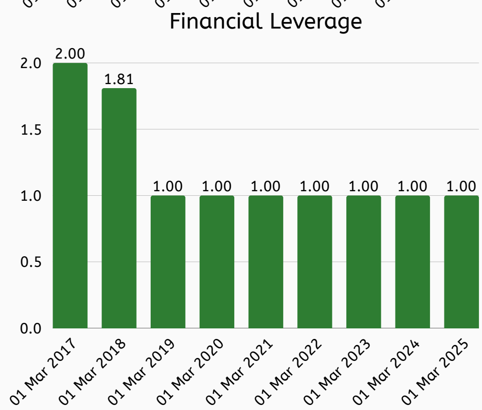












Avenue Supermarts Ltd.

Dupont Equation Analysis

Return on Capital Employed:

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
EBIT	841	1,194	1,422	1,754	1,331	2,004	3,000	3,375	3,624
Capital Employed	4,875	4,927	5,779	11,351	12,550	14,254	16,639	19,198	22,108
Return on Capital Employed	**17.25%**	**24.24%**	**24.61%**	**15.45%**	**10.61%**	**14.06%**	**18.03%**	**17.58%**	**16.39%**

ROCE- Dupont Equation:

Particulars	Mar, 2017	Mar, 2018	Mar, 2019	Mar, 2020	Mar, 2021	Mar, 2022	Mar, 2023	Mar, 2024	Mar 2025
Revenue from Operations	11,898	15,033	20,005	24,870	24,143	30,976	42,840	50,789	59,358
EBIT	841	1,194	1,422	1,754	1,331	2,004	3,000	3,375	3,624
EBIT Margin (A)	7.07%	7.94%	7.11%	7.05%	5.51%	6.47%	7.00%	6.65%	6.11%
Revenue from Operations	11,898	15,033	20,005	24,870	24,143	30,976	42,840	50,789	59,358
Capital Employed	4,875	4,927	5,779	11,351	12,550	14,254	16,639	19,198	22,108
Capital Turnover Ratio (B)	2.44	3.05	3.46	2.19	1.92	2.17	2.57	2.65	2.68
Return on Capital Employed (A*B)	**17.25%**	**24.24%**	**24.61%**	**15.45%**	**10.61%**	**14.06%**	**18.03%**	**17.58%**	**16.39%**

Comments:

Avenue Supermarts' Return on Equity (ROE) stood at 11.95% in March 2025, reflecting a gradual moderation from its 21.47% peak in 2017. According to the DuPont analysis, this return is driven by a steady asset turnover ratio of 2.61x and a net profit margin of 4.56%. Notably, financial leverage has remained flat at 1.00x since 2019, indicating that the company generates shareholder value entirely through operational efficiency rather than debt. While absolute PAT has grown significantly to ₹2,707 crore, the rapid accumulation of reserves to ₹20,777 crore has expanded the equity base, naturally lowering the percentage return.

The Return on Capital Employed (ROCE) followed a similar trend, recorded at 16.39% for March 2025, down from 17.58% the previous year. The DuPont breakdown for ROCE reveals an EBIT margin of 6.11% coupled with a capital turnover ratio of 2.68x. Despite the percentage dip, absolute EBIT has reached a record ₹3,624 crore, showing that the company's core business remains highly profitable even as capital employed has scaled to ₹22,108 crore. This high-velocity model ensures that the massive investments in new stores are consistently yielding positive returns, albeit at a slightly lower rate during this heavy expansion phase.

In a peer context, Avenue Supermarts maintains a healthy middle ground, outperforming V-Mart's volatile returns while trailing slightly behind Reliance Retail's ROCE. DMart's strength lies in its solvency and low-leverage model, characterized by an elite interest coverage ratio of 52.52x and a steady debt-to-equity ratio of 1.13. This financial stability allows the company to self-fund its growth without the risk associated with the higher debt loads seen in some competitors. Ultimately, the slight cooling of return ratios is a byproduct of the company's aggressive reinvestment of profits back into the business to build a massive, owned-asset base for long-term dominance.

P/E Multiple Method

Based on a P/E Multiple Approach, we set a 12-month target price of ₹4,780. This is derived by applying a 100x P/E multiple (consistent with its 2025 valuation of 98x) to an estimated FY26 EPS of ₹47.80. This target assumes a conservative 15% growth in Net Profit, mirroring the company's recent revenue growth trends.

- **Base Year PAT (Mar 2025):** ₹2,707 Cr
- **Projected Growth Rate:** 15% (Estimated based on 14.44% FY25 Revenue Growth)
- **Estimated FY26 PAT:** ₹2,707 Cr x 1.15 = ₹3,113 Cr
- **Estimated EPS (Earnings Per Share):** ₹3,113 Cr/65.1 Cr Shares = ₹47.82
- **Target P/E Multiple:** 100x (Current: 98x)
- **12-Month Target Price:** ₹47.82 x 100 = ₹4,782

We have utilized a Relative Valuation approach using a 12-month Forward P/E Multiple to arrive at our target price. While the broader retail sector often trades at lower multiples, DMart's unique "ownership model"—where it owns over 81% of its store real estate—significantly de-risks the business from rental inflation and terminal value uncertainty. This asset-heavy strategy, combined with an elite Interest Coverage Ratio of 52.52x, justifies a premium valuation as the company essentially operates as a debt-free, cash-generating machine.

Our target P/E multiple of 100x is supported by the company's superior operational efficiency, evidenced by its 11x inventory turnover and a disciplined 26-day cash conversion cycle. Unlike peers who rely on financial leverage to boost returns, DMart's ROE of 11.95% is "clean," driven entirely by asset turnover and margin stability rather than debt. We expect an EPS growth of 15% for FY2026, fueled by the strategic deployment of ₹20,777 crore in reserves toward new store clusters, ensuring that the company maintains its dominant market share in the organized retail space.

Sensitivity Table:

Growth Scenario	Estimated FY26 EPS	Target P/E Multiple	Target Price	Upside/Downside
Bear Case (10% Growth)	₹45.74	85x	₹3,888	-10%
Base Case (15% Growth)	₹47.82	100x	₹4,782	10%
Bull Case (20% Growth)	₹49.90	115x	₹5,738	32%

Source:

Annual Report 2024-25:
https://api.dmartindia.com/corporate/content/file/v1/6/vLobSX3O9BXYtJt1WfpFGuYr1752926697/Annual%20Report%202024-25.pdf

NSE-Avenue Supermarts Ltd:
https://www.nseindia.com/get-quote/equity/DMART/Avenue-Supermarts-Limited

Screener.in:
https://www.screener.in/company/DMART/consolidated/

ASL - Financial Results for the Q3 (FY 26):
https://api.dmartindia.com/corporate/content/file/v1/3/hlCuC1L9n29MaV2kqNNLvY611768046638/ASL%20-%20Financial%20Results%20for%20the%20Q3%20(FY%2026).pdf

Yahoo Finance - Avenue Supermarts Ltd:
https://finance.yahoo.com/quote/DMART.NS/financials/

Motilal Oswal - Avenue Supermarts Ltd:
https://images.assettype.com/bloombergquint/2026-01-12/37f1d8tz/Motilal_Oswal_Avenue_Supermarts_Q3FY26_Results_Review.pdf

Swastika Investmart - Avenue Supermarts Ltd:
https://www.swastika.co.in/blog/dmart-q3fy26-results-strong-margin-surprise-but-valuation-debate-continues

VMart Annual Reports:
https://www.vmart.co.in/annual-report/

Reliance Retail Annual Report:
https://relianceretail.com/rrl.html#fss

Vishal Mega Mart Annual Report:
https://aboutvishal.com/?content=VishalMegaMartLimited&id=17